

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

VISUAL COMFORT & CO., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD, *Respondent*.

DOCKET NO. 24-01

Served: April 30, 2024

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER DENYING RESPONDENT’S MOTION FOR PARTIAL JUDGMENT ON THE PLEADINGS

I. Introduction and Procedural Background

The Notice of Filing of Complaint and Assignment in this proceeding issued on January 4, 2024. The previously named respondent, COSCO Shipping Lines (North America), Inc., filed a motion to dismiss for lack of jurisdiction 20 days later, and Visual Comfort & Co. (“VCC”) filed an unopposed motion to amend the complaint to name COSCO Shipping Lines Co., Ltd. (“COSCO”) as the sole Respondent, and a copy of the amended complaint, 12 days thereafter. The order granting both motions issued on February 6, 2024 and the amended complaint was docketed on February 6, 2024. Respondent then filed its answer on February 20, 2024, completing the pleadings. The parties filed a joint status report and proposed discovery schedule (“JSR”) on March 6, 2024, and it was adopted by scheduling order that issued on March 7, 2024. Based on that schedule, the parties should have served their initial discovery requests and should be serving their objections to same by April 26, 2024.

On March 20, 2024, COSCO filed a Motion for Partial Judgment on the Pleadings (“MPJ”) alleging that VCC did not pay it directly for the fees and charges VCC alleges as violations of the Shipping Act and for which it seeks reparations. COSCO asserts that pursuant to the “direct purchaser rule,” VCC does not have standing to seek reparations from COSCO. MPJ at 4-6. VCC filed an opposition to the motion on April 4, 2024, asserting that it is a direct purchaser and COSCO misapplies the “direct purchaser rule.” Opposition at 4-7. VCC further asserts that “Complainant can obtain an assignment from any intermediary parties necessary to pursue its claims.” *Id.* at 1. COSCO filed a reply on April 11, 2024. On April 25, 2024, Complainant filed a Motion for Leave to File a Sur-Reply (“MSR”) and a Sur-Reply (“Sur-Reply”) with attached Exhibit A (“Ex. A”). This is the second dispositive motion filed in this proceeding.

II. Motion for Judgment on the Pleadings

As the parties acknowledge, the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for judgment on the pleadings, although Rule 12 provides that the Federal Rules of Civil Procedure apply in instances where there is no equivalent Commission rule and if consistent with sound administrative practice. 46 C.F.R. § 502.12. Here, COSCO asserts that Federal Rules of Civil Procedure 12(c) applies. The pleadings have been filed, and COSCO seeks partial judgment based on the pleadings.

"Judgment on the pleadings is appropriate where material facts are undisputed and where a judgment on the merits is possible merely by considering the contents of the pleadings." *Sellers v. M.C. Floor Crafters, Inc.*, 842 F.2d 639, 642 (2d Cir. 1988), citing *National Fidelity Life Ins. Co. v. Karaganis*, 811 F.2d 357, 358 (7th Cir. 1987). "Motions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review under these motions 'is essentially the same.'" *Ovchinnikov v. Hitrinov*, 6 F.M.C.2d 106, 115 (FMC Feb. 8, 2023), citing *Schuchart v. La Taberna Del Alabardero, Inc.*, 365 F.3d 33, 35 (D.C. Cir. 2004); *Samuels v. Safeway, Inc.*, 391 F. Supp. 3d 1, 2 (D.D.C. 2019). The Commission further explained:

On either motion, fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant's favor. *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009); *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007). Although a fact finder "generally may not rely on facts 'outside' the pleadings in deciding [either] motion,...it may consider matters incorporated by reference or integral to the claim, items subject to judicial notice, and matters of public record." *United States v. All Assets Held at Bank Julius Baer & Co.*, 772 F. Supp. 2d 191, 197 (D.D.C. 2011) (internal citations omitted).

Ovchinnikov v. Hitrinov at 115-116.

The amended complaint alleges that "VCC is a 'shipper' pursuant to 46 U.S.C. 40102(23)" and that "VCC shipped thousands of unique containers." Complaint, ¶¶ 6, 13. This is sufficient at this stage to allege that VCC was the direct purchaser. In the leading Commission case on the direct purchaser rule, the Commission affirmed dismissing complaints filed by downstream automobile dealers and consumers, however, it allowed the complaints by the manufacturer and ocean transportation intermediary to proceed. *In Re: Carrier Services*, 2019 WL 5419475, *7 (FMC Oct. 21, 2019). More recently, the Commission found that the ocean common carrier was the proper party in a charge complaint proceeding, disagreeing with the ocean common carriers' argument that its customer was the NVOCC. *Mediterranean Shipping Company – Investigation for Compliance with §§ 41103(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, Docket No. CC-001, at 3 (FMC Sept. 29, 2023). Unlike cases cited in the motion, here, Complainant is not a bankruptcy trustee, corporate affiliate, parent, or subsidiary, or downstream consumer, rather, it was the party responsible for the disputed charges.

Moreover, it is not clear what entity issued the detention and demurrage charges, what entity paid them, whether the charges were unreasonable, and how much was paid by and to each entity. MPJ at 5 and 6, n 6; Opposition at 1-2. VCC alleges that it was assessed detention and demurrage charges by COSCO that were unreasonable and caused VCC harm. Amended Complaint at paras. 13, 16-20, 30-31, 35,¹ 50-52. COSCO alleges that it did not invoice VCC for detention and demurrage charges, “with the possible exception of a small part thereof,” it did not “assess charges in an amount over \$1.219 million,” and whatever detention and demurrage charges were assessed and by whomever they were assessed, were not unreasonable. Answer at “introduction,” paras. 3, 13, 16, 18, 20, 22, 32, 35, 50-52.

There are no exhibits or documents attached to the pleadings to consider. The motion and opposition are not pleadings or evidence and raise factual discrepancies with the pleadings which must be addressed before determining whether VCC is or is not entitled to reparations. In the pleadings, VCC alleges it is a shipper that suffered injury when it had to pay COSCO detention and demurrage charges that were unreasonable. In the answer, COSCO states that “some small” part of what VCC alleges it paid in detention and demurrage charges was directly invoiced to and paid by VCC. Whether those charges were unreasonable can only be determined through discovery.

Further, neither party addressed in the motion or response whether VCC appears as a consignee or beneficial cargo owner on any master bills of lading. If VCC is listed as such on a master bill of lading, it may be liable to the vessel-operating common carrier for payment of charges such as demurrage if the NVOCC did not pay the charges. See generally, *Mediterranean Shipping Co., v. Best Tire Recycling, Inc.*, 254 F. Supp. 3d 305, 308 (D.P.R. 2015) (“Under Clause 1 of MSC’s bill of lading, a “Merchant” is defined to ‘include[] the Shipper, Consignee, hold of the[e] Bill of Lading, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods and or this Bill of Lading or anyone acting on behalf of this Person.’”). Again, the roles of the parties can only be determined through the presentation of evidence. For all the above reasons, a judgment on the pleadings is not appropriate in this case.

Finally, COSCO’s assertion that VCC should file separate complaints against any entities that allegedly served as intermediaries in the transactions with VCC and COSCO would not address the Shipping Act violations that VCC currently alleges were committed by COSCO.

III. Motion to File a Sur-Reply

In addition to the issues raised by the MJP, Complainant seeks leave to file a sur-reply to address its alternative argument in response to the MJP, specifically, that it can obtain

¹ The numbering on the Amended Complaint at page 8 jumps from paragraph 35 to paragraph 48 and continues through paragraph 52. The above cites to VCC’s numbering. COSCO responded in its Answer to each paragraph as numbered by VCC, including where the Complaint skipped numbers, but numbered paragraph 27 of the Answer as paragraph 26, and continued numbering a paragraph behind for the remainder of the Answer. The above cites to VCC’s Complaint numbering rather than COSCO’s to avoid further confusion.

assignments from intermediary parties if necessary. Attached to the motion is an exhibit that purports to be an assignment of a claim from one such intermediary.

A sur-reply to a motion is not contemplated by the Commission's Rules, unless requested by the presiding office or "upon a showing of extraordinary circumstances". § 502.70(d). The sur-reply seeks not to address COSCO's Reply, but to introduce evidence of an assignment. This evidence can be addressed in the parties' briefs and submitted with VCC's appendix, but the assignment is not required by this Order. Accordingly, VCC has not established extraordinary circumstances to file a sur-reply, and COSCO need not file a response to the motion.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Respondent COSCO's Motion for Judgment on the Pleadings is **DENIED**. It is

FURTHER ORDERED that Complainant VCC's Motion to File a Sur-Reply is **DENIED**. It is

FURTHER ORDERED that the parties submit a joint status report by May 10, 2024, regarding the status of discovery.



Linda S. Harris Crovella
Administrative Law Judge